26-655

In the United States Court of Appeals for the Second Circuit

James Lowe, Individually and on Behalf of All Others Similarly Situated, Michael Collins, Rae Fuller,

Plaintiffs-Appellees,

v.

MoneyLion Technologies Inc. d/b/a MoneyLion,

Defendant-Appellant.

ON APPEAL FROM THE UNITED STATES DISTRICT COURT FOR THE SOUTHERN DISTRICT OF NEW YORK
NO. 1:25-CV-4098, HON. DALE E. HO

REPLY BRIEF OF DEFENDANT-APPELLANT MONEYLION

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INTRODUCTION

MoneyLion's Instacash service allows users to obtain an advance of their earned income, choose not to repay, and walk away with no strings attached. And Instacash users can obtain those advances well before their ordinary payroll cycle without paying any fee. As a matter of plain meaning and common sense, Instacash is not an "extension of consumer credit"—which the Consumer Financial Protection Bureau (CFPB) recently recognized.

Seeking to distract from MoneyLion's clear Terms, plaintiffs mischaracterize Instacash through pejorative and misleading labels. They claim that "MoneyLion is a tech-enabled payday lender" that charges "loan-shark interest rates." Response Brief (RB) 1, 5. And they assert that Instacash is a "cunning device[]" to "evade[]" "usury limitations." RB40 (citation omitted). None of this is true.

A comparison between Instacash and payday loans illustrates the point. With payday loans, borrowers must repay the borrowed sum (with interest) or else face debt collection, late fees, and adverse credit reporting. With Instacash, users need not repay anything—and if they choose not to repay, no debt collection, fees, or credit reporting will follow.

With payday loans, borrowers avoid defaulting by rolling over the loan—for a fee and with interest capitalized into the new loan—thus creating snowballing

debt. With Instacash, users cannot roll over an advance and are disallowed from obtaining further advances until repayment occurs—the opposite of "a debt trap." RB13.

Instacash is thus fundamentally distinct from payday loans and other extensions of credit and should not be regulated as such. MoneyLion and other earned wage access (EWA) providers have created a consumer-friendly service to help people cover short-term liquidity needs while they wait for their next paycheck. That is not a cunning device to evade usury; it is an innovative solution to a serious problem that countless Americans face. Rather than stretching inapposite federal lending statutes to cover EWA, this Court should read those statutes as written—to cover only extensions of consumer credit. States and Congress can then address EWA through regulatory frameworks tailored to the unique features of the service.

ARGUMENT

The claims here must be arbitrated. The parties agreed to arbitration, and the Federal Arbitration Act (FAA) makes that agreement "valid, irrevocable, and enforceable." 9 U.S.C. § 2. To avoid that result, plaintiffs cite 10 U.S.C. § 987(f)(4) of the Military Lending Act (MLA), which bars arbitration of "any dispute involving the extension of consumer credit" to a covered servicemember.

But that provision has no application here for two reasons. First, Instacash advances do not extend "credit." 32 C.F.R. § 232.3(f)(1). Second, even if they did, that extension of credit would not be "[s]ubject to a finance charge." *Id.* § 232.3(f)(1)(i). Thus, Section 987(f)(4) provides no valid defense to arbitration of plaintiffs' claims.[1]

I. PLAINTIFFS MISUNDERSTAND THE LEGAL STANDARD

The district court misapplied the relevant legal standard, and plaintiffs err in contending otherwise. The only issue on appeal is whether the court erred in denying MoneyLion's motion to compel arbitration. JA188; Dkt. No. 14 at 30. "Courts deciding motions to compel arbitration 'apply a standard similar to that applicable for a motion for summary judgment,'" in which they "consider[] all relevant, admissible evidence submitted by the parties." *Soliman v. Subway Franchisee Advert. Fund Tr., Ltd.*, 999 F.3d 828, 833-34 (2d Cir. 2021) (citation omitted).

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[1] This Court has appellate jurisdiction under the FAA, which grants parties an automatic right to file an interlocutory appeal following the denial of a motion to compel arbitration. *See Coinbase, Inc. v. Bielski*, 599 U.S. 736, 740 (2023); 9 U.S.C. § 16(a). Plaintiffs' only argument against appellate jurisdiction is that Section 987(f)(4) of the MLA "[o]verrides the FAA." RB23. Accordingly, plaintiffs' entire case—whether framed as a jurisdictional argument or an MLA argument—turns on whether Instacash "involve[s] the extension of consumer credit." 10 U.S.C. § 987(f)(4).

The district court did not do that here. Plaintiffs assert (at 51) that there is no "evidence [that] the court failed to consider." But as the opening brief explains (at 34)—and as plaintiffs appear to concede (at 51 n.20)—the court never considered MoneyLion's FAQs, which specify in detail how users may revoke their debit authorization, JA181, 186. Those FAQs belie the Complaint's allegations that revocation is "poorly explained, not highlighted, and difficult to navigate." JA42. Because the court applied the wrong legal standard to MoneyLion's motion to compel arbitration, at least vacatur and remand is warranted.

Plaintiffs nonetheless insist that "[t]he Order should be affirmed because [they] plausibly alleged" that Instacash advances are extensions of consumer credit. RB22 (emphasis added). And the district court likewise focused only on what "Plaintiffs have plausibly alleged." SPA4 (emphasis added). But that plausible-allegation standard governs motions to dismiss—not motions to compel arbitration. Opening Brief (OB) 32. Nor does the MLA suggest that allegations alone suffice to trigger Section 987(f)(4). In contrast, Congress enacted arbitration bars in other statutes that turn on mere allegations. *See* 9 U.S.C. § 402(a) (rendering arbitration agreements unenforceable in cases "alleging conduct constituting a sexual harassment dispute" (emphasis added)).

To be sure, plaintiffs correctly note (at 50) that "MoneyLion invoked the Rule 12(b)(6) standard." But that is because MoneyLion moved to dismiss the

complaint or alternatively to compel arbitration. Dist. Ct. Dkt. No. 30. Naturally, MoneyLion invoked the Rule 12(b)(6) standard for its motion to dismiss and the summary-judgment-like standard for its motion to compel. *See* Dist. Ct. Dkt. No. 31 at 9-10. The district court denied both motions, SPA10, and now only the motion-to-compel denial is on appeal, JA188.

II. PLAINTIFFS' CLAIMS ARE ARBITRABLE BECAUSE THEY DO NOT INVOLVE THE EXTENSION OF CREDIT

The MLA does not apply because Instacash advances are not extensions of "credit." "Credit" means "the right granted to a consumer by a creditor to defer payment of debt or to incur debt and defer its payment." 32 C.F.R. § 232.3(h) (emphases added). MoneyLion users incur no debt because they have no obligation to repay advances. Plaintiffs' contrary arguments flout the statutory text and context.[2]

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[2] For the first time on appeal, plaintiffs contend (at 21) that their "claims fall outside the scope of MoneyLion's arbitration agreement" altogether. They cite a provision in the agreement stating that it "will not apply to" servicemembers "with respect to any Claims concerning any of [MoneyLion's] lending products or services." JA72. But the agreement includes that provision because MoneyLion recognizes that the MLA bars arbitration of MLA disputes with servicemembers arising from MoneyLion's actual lending products, such as its Credit Builder Loans. Instacash is not one of those products. To the contrary, the Terms make clear that: "INSTACASH IS NOT A LOAN. MONEYLION IS NOT LENDING YOU MONEY IN CONNECTION WITH THE INSTACASH SERVICE." JA132.

A. Plaintiffs' Amorphous Reading Of "Debt" Disregards Text And Context

In the context of consumer contracts, "debt" means a legal or contractual obligation to pay a sum of money. OB22-28. Plaintiffs agree that "debt" means "a state of being under obligation to pay or repay someone." RB25 (citation omitted). And they concede that an "obligation" is "something that one is bound to do," RB26 (citation omitted), or "a binding promise," RB43 n.17 (citation omitted). Those concessions are fatal to their arguments because Instacash users are not "bound" to pay anything. Plaintiffs' contrary position defies ordinary speech and common sense.

A consumer owes a debt only when they must pay it or else face consequences. By contrast, when a consumer receives money that they need not repay, they do not incur debt. They can simply walk away with the funds without facing any repercussions. In that circumstance, no one would say that the consumer has made "a binding promise" to repay. RB43 n.17 (citation omitted). Absent any enforcement mechanism, what would the source of the consumer's binding obligation be? Of course, when speaking colloquially, a friend who has benefitted from a favor might say, "I owe you one." But the Truth in Lending Act (TILA) and MLA involve consumer lending, and "debt" means "legal" or "contractual" obligations, not social or moral ones. 12 C.F.R. §§ 1026.2(a)(13), 1026.17(c)(1).

Ultimately, plaintiffs' malleable interpretation of "debt" could harm consumers by emboldening debt collectors to recharacterize unwritten or non-legal obligations as "debt" subject to collection.

Resisting the ordinary meaning of "debt," Plaintiffs accuse (at 42) MoneyLion of selectively citing definitions of "debt" from Black's Law Dictionary. To be clear, none of the definitions supports plaintiffs' view that "debt," as used in legal parlance, can mean a nonbinding "promise." RB43. And many of those definitions expressly support MoneyLion.

Plaintiffs next attack MoneyLion for citing cases from outside "the consumer contract context" to support its common-sense reading of "debt." RB44; *see* OB25-26. But those cases underscore that, across a variety of financial regulatory schemes, "debt" means an enforceable payment obligation. As this Court recently affirmed, if a creditor "could never sue" a debtor or "obtain any affirmative relief" against its property, "it has 'no right to payment'" under bankruptcy law. *In re SVB Fin. Grp.*, __ F.4th __, 2026 WL 2648091, at *5 (2d Cir. Sept. 9, 2026) (citation omitted); *see Pa. Dep't of Pub. Welfare v. Davenport*, 495 U.S. 552, 559 (1990). And in *Powell v. Ocwen Financial Corp.*, 173 F.4th 386 (2d Cir. 2026), this Court characterized the "classic debt" as "an unqualified obligation to pay a sum certain at a reasonably close fixed maturity date along with a fixed percentage in interest." *Id.* at 394 (citation omitted); *see Analytical Survs.*,

Inc. v. Tonga Partners, L.P., 684 F.3d 36, 43-44 (2d Cir. 2012) (similar). That definition plainly supports MoneyLion—and it is immaterial that the Court found a debt on the specific facts there. *Contra* RB44. Plaintiffs offer no principled reason why "debt" would have one meaning under the securities laws, Employee Retirement Income Security Act, Bankruptcy Code, and Tax Code—and an entirely different one under TILA and the MLA.

CONCLUSION

This Court should reverse the district court's order denying MoneyLion's motion to compel arbitration.

Dated: September 10, 2026

Respectfully submitted,

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CERTIFICATE OF COMPLIANCE

This brief complies with the type-volume limitation set forth in Local Rule 32.1(a)(4)(B) because it contains 1,634 words, excluding the parts of the brief exempted by Federal Rule of Appellate Procedure 32(f).

This brief complies with the typeface requirements of Federal Rule of Appellate Procedure 32(a)(5) and the type-style requirements of Federal Rule of Appellate Procedure 32(a)(6) because it was prepared in a proportionally spaced typeface using Typst in Liberation Serif 14-point font.

Dated: September 10, 2026

/s/ Ephraim A. McDowell
Ephraim A. McDowell

CERTIFICATE OF SERVICE

I hereby certify that, on September 10, 2026, I electronically filed the foregoing Reply Brief of Defendant-Appellant MoneyLion with the United States Court of Appeals for the Second Circuit using the Court's electronic filing system, which will serve copies on all registered counsel.

Dated: September 10, 2026

/s/ Ephraim A. McDowell
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